

Create the enterprise policy

The enterprise policy is the link between Power Platform and the key in your vault. It is an Azure resource of type `Microsoft.PowerPlatform/enterprisePolicies` — essentially a pointer that says “encrypt with this key, in this vault.” You create it by deploying a small ARM template.

For Woodgrove Bank, the policy also plays an audit role: because it is an Azure resource, its creation, changes, and role assignments all appear in the Azure activity log, giving the risk team a verifiable trail of who configured encryption and when.

! The enterprise policy experience is currently in **preview**. A policy can only be applied to environments in the same Azure region as the policy, so create a separate policy for each region you operate in.

Step 1: Start a custom template deployment

1. Sign in to the [Azure portal](#) using your lab environment administrator credentials.
2. On the Azure portal home page, select **Deploy a custom template**. If the tile is not visible, search for `Deploy a custom template` in the top search bar.
3. On the **Custom deployment** page, select **Build your own template in the editor**.

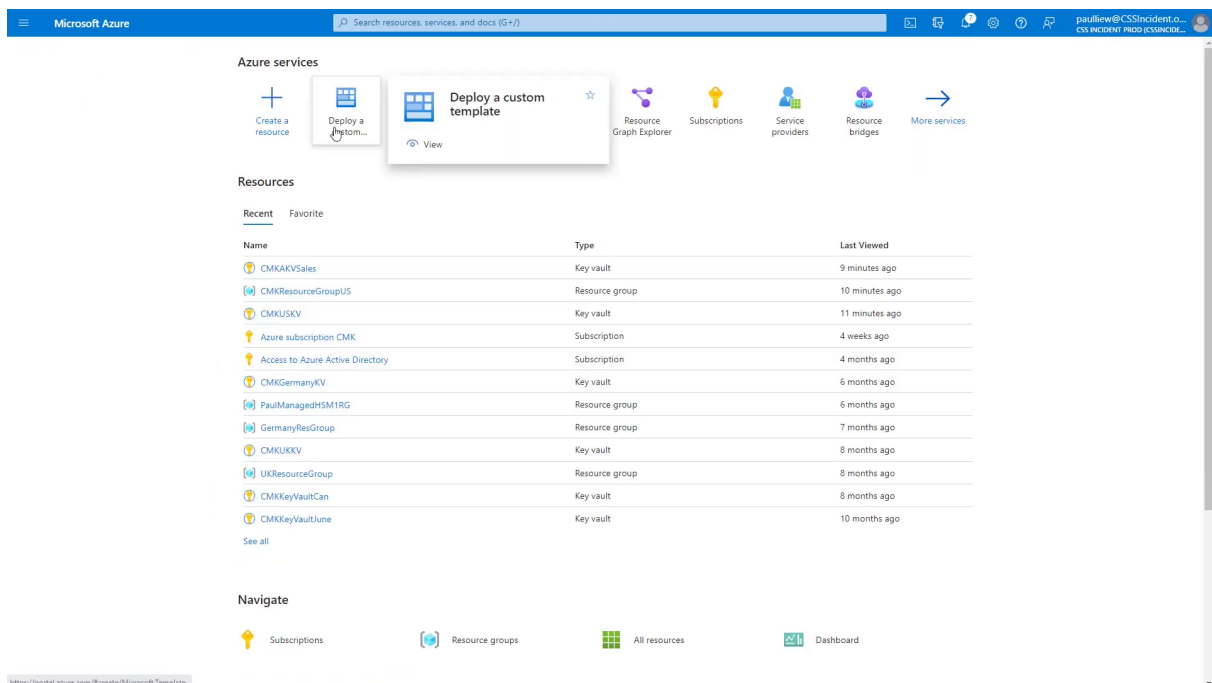


Figure: Start a custom template deployment from the Azure portal.

Step 2: Build the enterprise policy template

1. Replace the editor contents with the enterprise policy template below:

```

{
  "$schema": "https://schema.management.azure.com/schemas/2019-04-01/
deploymentTemplate.json#",
  "contentVersion": "1.0.0.0",
  "parameters": {},
  "resources": [
    {
      "type": "Microsoft.PowerPlatform/enterprisePolicies",
      "apiVersion": "2020-10-30",
      "name": "CMKWUSSalesEP1",
      "location": "unitedstates",
      "kind": "Encryption",
      "identity": {
        "type": "SystemAssigned"
      },
      "properties": {
        "lockbox": null,
        "encryption": {
          "state": "Enabled",
          "keyVault": {
            "id": "/subscriptions/<your-subscription-id>/resourceGroups/
<your-rg>/providers/Microsoft.KeyVault/vaults/<your-vault-name>",
            "key": {
              "name": "cmksaleskey",
              "version": "<your-key-version>"
            }
          }
        }
      },
      "networkInjection": null
    }
  ]
}

```

2. Set the policy `name` (this lab uses `CMKWUSSalesEP1`) and `location` (the region of your environment, for example `unitedstates`).
3. In `keyVault.id`, enter the full resource ID of your key vault.
4. In `key`, enter the `name` and `version` of the key you created in [Prepare your Azure Key Vault](#).
5. Select **Save**.

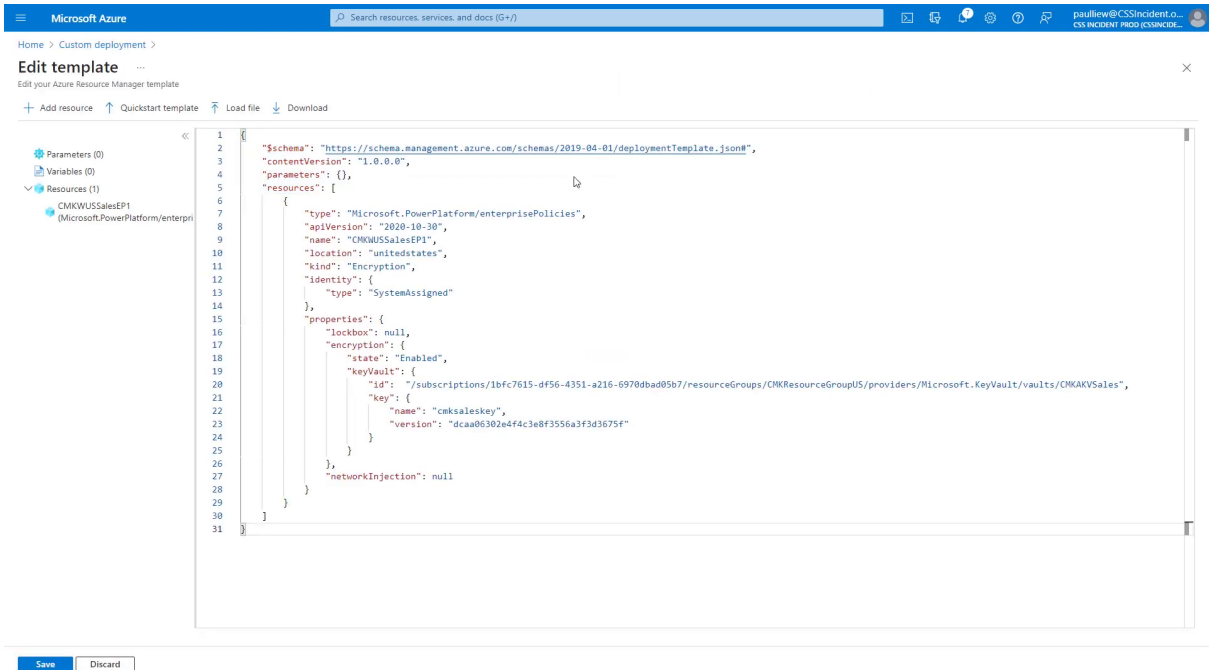


Figure: Update the policy name, location, key vault resource ID, key name, and key version to match your environment.

 In the template, `kind` is set to `Encryption` and `identity.type` is `SystemAssigned`. This gives the policy its own managed identity, which you will grant access to the key vault in the next lab. The names above are examples — replace them with your own values.

Step 3: Deploy and confirm

1. Select **Review + create**, and then select **Create** to deploy the template to your resource group (this lab uses `CMKResourceGroupUS`).
2. Wait for the deployment to finish, and then confirm the **Deployment succeeded** notification.

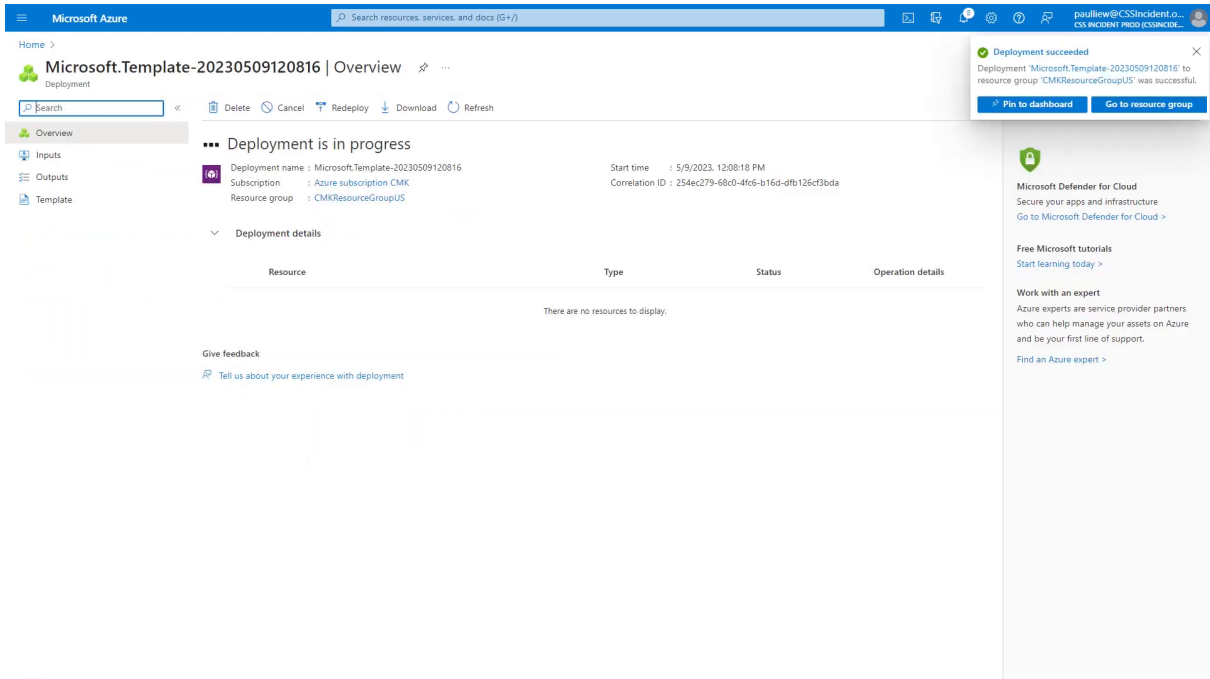


Figure: The enterprise policy has been created.

✓ The enterprise policy now exists as an Azure resource with its own managed identity. It cannot use your key yet — that access is granted in the next lab.

Next lab

Continue with [Grant the enterprise policy access.](#)